CORE DOMAIN 5: MACROECONOMICS & CENTRAL BANKING

50 Essential Questions & Answers on Monetary and Fiscal Policies

Q1. What is Gross Domestic Product (GDP)?

Answer: The total monetary or market value of all finished goods and services produced within a country's borders during a specific period.

Q2. Explain the difference between real GDP and nominal GDP.

Answer: Nominal GDP is calculated using current-year prices; real GDP is adjusted for the distorting effects of price inflation to reflect actual output volume.

Q3. What is inflation?

Answer: A progressive, general increase in prices and a corresponding fall in the purchasing power of money across an economy over time.

Q4. What is deflation?

Answer: A sustained decrease in the general price level of goods and services, often associated with contracting economic activity.

Q5. Explain the primary mandate of the Federal Reserve.

Answer: A dual mandate established by Congress: to promote maximum sustainable employment and maintain stable prices (low inflation).

Q6. What is monetary policy?

Answer: Actions taken by a central bank (like the Federal Reserve) to manage the money supply and interest rates to stabilize the macroeconomy.

Q7. What is fiscal policy?

Answer: The use of government spending and taxation adjustments by legislative and executive branches to influence aggregate economic demand.

Q8. What is the Consumer Price Index (CPI)?

Answer: A key economic indicator tracking the average change over time in the prices paid by urban consumers for a market basket of consumer goods.

Q9. Explain Quantitative Easing (QE).

Answer: An unconventional monetary policy where a central bank purchases long-term securities from the open market to inject liquidity and lower long-term interest rates.

Q10. What is the federal funds rate?

Answer: The target overnight interest rate at which commercial banks lend their reserve balances to other commercial banks to meet baseline reserve requirements.

Q11. What is the difference between a recession and a depression?

Answer: A recession is a significant decline in economic activity lasting more than a few months; a depression is a severe, prolonged recession lasting years with catastrophic output collapse.

Q12. What is stagflation?

Answer: An economic anomaly characterized by slow economic growth and high unemployment combined with high price inflation.

Q13. Explain the law of supply and demand.

Answer: An economic theory stating that competitive market prices adjust to balance the quantity supplied by producers with the quantity demanded by consumers.

Q14. What is a budget deficit?

Answer: A situation occurring when a government's total expenditures exceed the tax revenues it collects over a specific fiscal year.

Q15. What is the national debt?

Answer: The total cumulative amount of money that a country's federal government has borrowed and currently owes to creditors and investors.

Q16. What does the unemployment rate measure?

Answer: The percentage of the total civilian labor force that is currently jobless, actively seeking employment, and available to work.

Q17. Explain hyperinflation.

Answer: An extreme, rapid, and out-of-control economic cycle where price levels increase by more than 50% per month, collapsing the local currency.

Q18. What is a central bank?

Answer: A national financial institution responsible for managing a country's fiat currency, money supply, banking system, and interest rates.

Q19. What are open market operations (OMO)?

Answer: The buying and selling of government bonds in the open market by a central bank to expand or contract the volume of money in the banking system.

Q20. What is the discount rate in central banking?

Answer: The interest rate charged to commercial banks for short-term emergency loans borrowed directly from the central bank's discount window.

Q21. What is the reserve requirement ratio?

Answer: The minimum percentage of customer deposits that commercial banks must hold in liquid reserves rather than lending out to borrowers.

Q22. Explain cost-push inflation.

Answer: Inflation triggered by a substantial increase in the cost of wages and critical raw materials, driving up aggregate production costs.

Q23. Explain demand-pull inflation.

Answer: Inflation occurring when aggregate demand for goods and services outpaces aggregate economic supply, driving up prices.

Q24. What is the velocity of money?

Answer: The rate or frequency at which a single unit of currency is exchanged to purchase locally produced goods and services within a given timeframe.

Q25. What is a trade deficit?

Answer: An economic condition occurring when a country's total value of imported goods and services exceeds the value of its exported products.

Q26. What is a trade surplus?

Answer: An economic condition occurring when a country's total value of exports exceeds the total value of its imported goods and services.

Q27. What is the balance of payments?

Answer: A comprehensive statement summarizing all economic transactions between residents of a country and the rest of the world over a period.

Q28. What is fiat money?

Answer: A government-issued currency that is not backed by a physical commodity (like gold or silver) but rather by public trust and legal decree.

Q29. What is the fractional reserve banking system?

Answer: A banking system where commercial banks accept deposits, hold a small fraction as cash reserves, and lend out the remainder to generate credit.

Q30. Explain the Phillips Curve.

Answer: An economic concept showcasing an inverse short-run relationship between inflation rates and unemployment rates.

Q31. What is aggregate demand?

Answer: The total gross demand for all finished goods and services produced within an economy at a given overall price level.

Q32. What is aggregate supply?

Answer: The total gross supply of goods and services that firms in an economy are willing and able to produce at a given price level.

Q33. What is a tariff?

Answer: A tax or duty imposed by a government on imported goods and services from foreign nations, used to protect domestic industries.

Q34. What is protectionism?

Answer: An economic policy of restricting imports from foreign nations through tariffs, quotas, and regulations to support domestic businesses.

Q35. What is free trade?

Answer: An international policy allowing countries to import and export goods without tariffs, trade barriers, or artificial state restrictions.

Q36. Define exchange rate.

Answer: The value of one nation's fiat currency expressed in terms of another nation's currency or currency basket.

Q37. What is a fixed exchange rate system?

Answer: A currency regime where a government hooks its official exchange rate to another country's currency or to gold.

Q38. What is a floating exchange rate system?

Answer: A currency regime where a currency's value is allowed to fluctuate freely in response to foreign exchange market supply and demand forces.

Q39. What is an interest rate hike?

Answer: An upward adjustment of baseline target interest rates by a central bank to cool down over-expanding economic demand and curb inflation.

Q40. What is the multiplier effect?

Answer: An economic phenomenon where an initial injection of spending leads to a larger final increase in gross economic output.

Q41. What is a liquidity trap?

Answer: A macroeconomic situation where standard monetary injections fail to lower interest rates or stimulate growth because consumers hoard cash cash reserves.

Q42. What is real interest rate?

Answer: The nominal interest rate minus the expected or actual rate of inflation, reflecting the true cost of borrowing.

Q43. What is the nominal interest rate?

Answer: The stated or advertised interest rate on a loan or savings product, unadjusted for the effects of price inflation.

Q44. What is the cyclical unemployment?

Answer: Unemployment directly resulting from economic downturns and contractions within the business cycle.

Q45. What is structural unemployment?

Answer: Unemployment arising from a permanent mismatch between the skills workers offer and the skills required by employers due to shifting industries.

Q46. What is frictional unemployment?

Answer: Time-bound, natural unemployment occurring when workers are between jobs or entering the labor market for the first time.

Q47. What is the natural rate of unemployment?

Answer: The baseline level of structural and frictional unemployment that persists even when the economy is growing smoothly at full capacity.

Q48. What is purchasing power parity (PPP)?

Answer: An economic theory comparing different countries' currencies through a standard basket of goods approach to adjust for local living costs.

Q49. What is the Gini coefficient?

Answer: A statistical measure of economic inequality tracking wealth or income distribution across a population, ranging from 0 (perfect equality) to 1 (perfect inequality).

Q50. What does a flat yield curve signify?

Answer: An economic indicator showing that short-term and long-term interest rates are nearly identical, often signaling economic uncertainty or a transition toward an impending recession.

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